

INVESTMENT THESIS

Repay Holdings Corporation (RPAY)

Forager Fund activist campaign — 12.5% poison-pill trigger vs. 12.9% stake

Activist catalyst window: 0–3 quarters • T+1 business day since pill adoption

15 April 2026 (v2 — Veradace update)

Glossary of Key Terms

Acronyms used throughout this note, defined up front so the summary reads cleanly:

Term	Meaning
13D / 13D/A	SEC Schedule 13D (and Amendments) — required disclosure when an investor crosses 5% ownership with intent to influence control.
13F	Quarterly SEC institutional holdings report.
8-K	SEC Current Report — discloses material corporate events within four business days.
8-A12B	SEC registration of a new class of securities under Section 12(b) of the Exchange Act.
ADV	Average Daily Volume (trading liquidity measure).
AIP	American Industrial Partners (unrelated PE sponsor — referenced only in comparison context).
BPO	Business Payments segment (RPAY's AP/AR automation business).
CPO	Consumer Payments segment (RPAY's auto loan / receivables management business).
DEF 14A	Definitive proxy statement — filed before annual shareholder meeting.
deSPAC	Business combination of an operating company with a special purpose acquisition company.
EBITDA	Earnings Before Interest, Taxes, Depreciation, and Amortization.
EV / FCF	Enterprise value divided by free cash flow.

FCF	Free Cash Flow.
Forager	Forager Fund, L.P. — Birmingham, AL activist-capable value fund (Forager Capital Management, LLC adviser).
GP	Gross Profit.
ISS / Glass Lewis	Proxy advisory firms — issue voting recommendations to institutional investors.
KUBRA	Bill-pay / customer-communications platform RPAY agreed to acquire for \$372M on 30 March 2026.
mcap	Market capitalization.
Pill / Rights Plan	Stockholder Rights Plan — defensive device that triggers massive dilution if a holder crosses a set ownership threshold.
PREC14A	Preliminary proxy for a contested election.
PT	Analyst price target.
PRR	Proportional response rate (unrelated — excluded).
Rights Agent	Continental Stock Transfer & Trust, in the case of the RPAY plan.
SI	Short interest.
TAM	Total addressable market.
Triggering Percentage	Ownership level that causes the rights plan's dilutive mechanism to activate — 12.5% for the RPAY plan.
WC	Working capital (source-of-funds notation on 13D).

Summary

On 13 April 2026, Repay Holdings' board adopted a stockholder rights plan with an unusually aggressive 12.5% triggering percentage. On the same day, Forager Fund, L.P. — an activist-capable small-cap value fund based in Birmingham, Alabama — filed a Schedule 13D/A disclosing a 12.9% stake, its third 13D amendment in roughly thirty days. The numerical calibration of the pill (trigger set precisely below Forager's current position) is not boilerplate: it is a board signal that it regards Forager as an imminent control threat. The market is pricing this as routine defensive housekeeping — the stock closed at \$3.07, unchanged on the adoption day. I think the market is wrong. This is a live activist situation in a sub-

\$300M, post-deSPAC payments business that has underperformed for four years, with a pending transformational acquisition (KUBRA, \$372M) that itself could become the object of campaign demands. My base case is a negotiated outcome — board settlement or formal strategic review — inside 1–3 quarters, with 30–60% upside if a sale materializes and 15–25% downside if Forager capitulates. A second shareholder voice hardened the governance picture two days before the pill: on 9 April 2026, Veradace Partners LP — an 8.4% holder founded in 2019 and run by former NWQ co-president John Conlin — issued a public letter to Repay's independent directors calling for termination of the pending \$372M KUBRA acquisition and two shareholder board seats, claiming every actively-managed investor it polled opposed the deal. Adding Veradace's 8.4% to Forager's 12.9% implies roughly 21% of the float is publicly or near-publicly aligned against incumbent management on capital allocation.

The Case in Six Points

1. The 12.5% trigger is a tailored signal, not boilerplate. Industry-standard poison pills trigger at 15–20%. Setting the threshold 40 basis points below a single holder's disclosed stake is a deliberate statement: the board has identified Forager as the threat, grandfathered the current position, and installed a hard cap that prevents further accumulation. Boards do not pay counsel to draft a customized defense unless they expect a campaign.
2. Forager's accumulation pattern fits the activist archetype, not the passive investor. Three 13D amendments in thirty days (13 March, 3 April, 13 April), crossing from 10.0% (initial 13D filed 12 March 2026 per Forager disclosure) to 12.9% in approximately five weeks. Open-market buys between \$2.85 and \$3.82 — a disciplined accumulation range, not a panic bid. The switch from 13G (passive) to 13D (active) earlier this year was the real initiating event; the pill is the defender's response.
3. The business is a textbook activist target. Stock down ~85% from 2021 highs; 2025 net loss of \$271M driven by goodwill impairment; Q4 2025 reported revenue flat year-over-year; management change (Shaler Alias departed February 2026); and a \$372M cash acquisition of KUBRA announced 30 March 2026 whose integration risk adds a second axis of activist leverage. The segments are bifurcating: Business Payments grew 41% in Q4, Consumer Payments only 8%. A credible activist case for a segmented strategic review writes itself.
4. The market has not connected the dots. Consensus analyst price target is \$5.60 but the range is \$3.50 (UBS) to \$12, with a recent DA Davidson cut from \$10 to \$8 in March 2026 — all reflecting fundamental pessimism, none pricing an activist outcome. Coverage of the rights plan adoption has been thin; investor-relations language describes it as a response to "rapid stock accumulation" without naming Forager. The signal value of three SEC filings cross-referenced — 8-K, 8-A12B, 13D/A — is underweighted by the street.
5. Asymmetric payoff at current price. At \$3.07, a settlement outcome (board seats, governance reform, operating review) historically carries an implied 20–30% 12-month re-rate. A strategic review or M&A outcome carries 30–60%. The downside case — Forager capitulates, sells down, and RPAY trades on fundamentals — is –15 to –25%, bounded by the post-KUBRA forward FCF floor at ~\$3–\$4 EV/FCF. Probability-weighted expected return over 6–12 months is meaningfully positive from here.

6. Two shareholders publicly opposing management, not one. Veradace Partners' 9 April letter and Forager's 12.9% accumulation create parallel pressure axes — Veradace targeting the KUBRA deal and board composition, Forager targeting structural outcomes through accumulation. The 9 April board response reiterating KUBRA commitment is a hardening signal that increases the probability the situation escalates into a contested proxy or mutually-agreed settlement rather than quiet capitulation.

Key Numbers

Metric	Value	Note
Current price	\$3.07 (14 April 2026 close)	Flat on pill adoption — market treating as boilerplate
Market cap	~\$268M	44.1M Class A float; ~85.9M total shares
Consensus PT (mean)	\$5.60	Analyst dispersion: \$3.50 (UBS) to \$12 (Canaccord)
High PT	\$12 (Canaccord)	Pre-impairment; cut from \$12 → \$8 by DA Davidson Mar 2026
2025A revenue	\$309.3M	Q4 +10% normalized; full-year net loss \$271.1M (goodwill)
2026E revenue guide	\$340–346M (+10–12%)	Adjusted EBITDA \$136.5–141.5M, ~40% margin
Pending M&A	KUBRA acquisition, \$372M cash	Announced 30 Mar 2026; expected close Q2 2026
Forager stake	12.9% (11.10M shares)	Cost basis ~\$2.85–\$3.82; WC source
Pill trigger	12.5% (Exercise price \$17.00)	Tailored below Forager; 1-year term
Short interest	7.5% of float	Modest — no squeeze dynamic
ADV	~1.5M shares / ~\$4.5M notional	Adequate for small-mid positioning
Investment score	30.0 / 42.5	Active candidate tier; EDGAR-only (no convergence bonus)
Veradace Partners stake	8.4% (~7.2M Class A shares)	Second activist-adjacent holder; Apr 9, 2026 public letter opposing KUBRA
KUBRA acquisition	\$372M cash (cash + new debt)	Announced Mar 30, 2026; stock

		-17% on announcement; targeted Q2 2026 close
Visible governance opposition	~21.3% of Class A float	Forager 12.9% + Veradace 8.4%; both on record against management capital allocation

The Asymmetry

Base case (60% probability, 12-month horizon): Forager files a responsive 13D/A confirming intent, the board opts for negotiated settlement with 1–2 Forager or mutually-agreed independent nominees and an operational review, KUBRA integration proceeds, and shares re-rate to \$4.00–\$4.25 on governance premium and clarified capital-allocation framework. Implied return: +30–38%.

Bull case (20% probability, 6–18 months): A formal strategic review is announced; bidders emerge for the combined Repay+KUBRA platform in a mid-cap payments M&A environment where Shift4 and Global Payments are actively consolidating. A take-out at 8–10× forward EBITDA (\$1.2–\$1.4B enterprise value on ~\$140–\$150M EBITDA) implies \$5.00–\$6.00 per share. Implied return: +63–95%.

Bear case (20% probability, 2–4 quarters): Forager stops at 12.9%, fails to secure a proxy slate inside the nomination window, KUBRA integration takes longer than modeled, and the stock trades back to its March 2026 low. Implied move: –17 to –23% to \$2.35–\$2.55. Floor set by post-KUBRA FCF economics and the \$4.5M ADV, which limits forced selling.

Probability-weighted expected return: $0.60 \times 34\% + 0.20 \times 80\% + 0.20 \times (-20\%) = +32\%$. Distribution skew is strongly positive — this is asymmetric, not heroic.

Recommendation

Buy — medium-high conviction.

Starter position (1–2% of portfolio) at current levels with authorization to scale to satellite size (2–5%) on one of: (a) Forager 13D/A Amendment No. 3 disclosing settlement demands or director nominations, (b) a PREC14A filing, (c) an 8-K announcing strategic review, or (d) a pullback to \$2.80–\$2.90. This is an event-driven position in a sub-\$300M situation where the edge is the 48–72 hours of cross-reference work between three SEC filings that mainstream coverage has not bundled. Time horizon 3–12 months; exit mechanics defined in Appendix A.9.

Updated 15 April 2026 (v2): adds Veradace Partners' 8.4% stake and 9 April public letter opposing the KUBRA acquisition as a second activist-adjacent axis — position thesis unchanged, confidence modestly higher.

Full thesis, governance detail, risk decomposition, and sourcing in the Appendix that follows.

A.1 Why Now — The Window Is Closing

Activist campaigns in sub-\$300M equities decay faster than their large-cap analogues. The informational edge here is not the existence of the campaign — Forager's Schedule 13D has been public since 12 March 2026 — but the asymmetric interpretation of the 13–14 April filing stack. The 8-K, the 8-A12B, and the 13D/A #2 were filed within 24 hours of each other; their combined meaning requires piecing three documents together and knowing the industry-standard pill trigger (15–20%) well enough to recognize 12.5% as customized. Each successive day narrows that window:

1. Trade-press pickup. Law360, Activist Insight, and 13D Monitor typically publish on custom-trigger pills within 3–5 business days. Once those hit, the pill-vs-stake numerical coincidence is common knowledge and the entry window closes.

2. Forager response. Activists usually respond to a pill within 5–15 business days — via a follow-up 13D/A with a public letter, a lawsuit challenging the threshold, or a PREC14A filing. Any of these will spike the stock by 10–25%.

3. Proxy clock. RPAY's 2025 annual meeting was held in May 2025 (historical pattern); the 2026 meeting is expected late May or June 2026, and the bylaws' advance-notice window for director nominations typically closes 90–120 days before. We may already be inside or adjacent to that window, which compresses the timeline for Forager to act.

4. KUBRA closing. The KUBRA acquisition is expected to close Q2 2026 (antitrust permitting). Forager's optimal leverage point is before closing — either to force renegotiation, modification, or a board-level dialogue on capital allocation. A post-close campaign still works but loses the deal-driven narrative.

The practical implication: the maximum-edge window is the next 2–6 weeks. Thereafter, the situation re-prices into a narrower activist premium, and the trade becomes execution-timing rather than signal-timing.

A.2 The Company

Repay Holdings Corporation is a small-cap payments processor headquartered in Atlanta, Georgia, trading on NASDAQ since its July 2019 deSPAC combination with Thunder Bridge Acquisition. The business runs two segments:

- Consumer Payments — payment processing for auto lending, receivables management, and credit-union verticals. ~70% of historical revenue. Growing single-digit; 2025 Q4 +8% YoY.
- Business Payments — AP automation and B2B payment flows. Smaller today but growing rapidly; 2025 Q4 +41% YoY normalized revenue, +73% gross profit.

Full-year 2025 results: revenue \$309.3M, adjusted EBITDA margin ~41%, free cash flow \$49.1M, reported net loss \$271.1M dominated by a non-cash goodwill impairment related to prior-era acquisitions. 2026 guidance: revenue \$340–346M (+10–12%), adjusted EBITDA \$136.5–141.5M. On 30

March 2026 the company announced the acquisition of KUBRA from Hearst for \$372M cash, a bill-payment and customer-communications platform reaching 40%+ of US and Canadian households; combined 2025 revenue pro forma ~\$548M, combined adjusted EBITDA ~\$178M, \$15M+ of run-rate cost synergies claimed. Closing is targeted Q2 2026 subject to antitrust.

Strategically, the combined entity would be the clear mid-market bill-pay and specialty payments consolidator — which is both the bullish base case (scale in a fragmenting niche) and the activist hinge (capital-allocation discipline, integration execution, margin accretion). The Shaler Alias departure in February 2026, described as "mutual and amicable," is an additional data point in the governance backdrop.

A.3 The Catalyst — A Numerical Smoking Gun

The catalyst is not a single event but a filing cluster that closes a logical loop. Taken individually, each filing is unremarkable. Taken together, they describe a board-activist conflict entering open hostilities:

- 12 March 2026 — Forager Fund files initial Schedule 13D disclosing 10.0% ownership (~8.6M shares), cost basis ~\$2.85–\$3.82, source of funds working capital. The filing shifts from 13G to 13D classification, formally signaling intent to influence control. Open-market purchases ran 12 January through 3 March 2026, totaling ~\$30.4M deployed.
- 3 April 2026 — Forager files 13D/A #1, stake increment disclosed (precise level inferred, likely 11.0–12.0%).
- 9 April 2026 — Forager reaches 12.9% (11,106,648 shares) per stated event date on subsequent amendment.
- 13 April 2026 — Two near-simultaneous events: (i) RPAY board adopts a stockholder rights plan with 12.5% triggering percentage, Exercise Price \$17.00 per one one-thousandth of Series A Junior Participating Preferred Stock, 1-year term; (ii) Forager files 13D/A #2 disclosing the 12.9% position.
- 14 April 2026 — 8-K (Item 3.03 Material Modification to Rights) and 8-A12B (registration of the Rights) filed with the SEC. Continental Stock Transfer & Trust named as Rights Agent.

Three aspects of the pill deserve attention. First, the 12.5% trigger is aggressive — the typical range in 2025–2026 pill adoptions is 15–20%, and sub-15% thresholds almost always coincide with identified control threats. Second, the grandfathering clause explicitly preserves Forager's existing 12.9% but forbids any further accumulation; this is a hard cap, not an expulsion. Third, the beneficial-ownership definition is expansive, reaching derivatives — intended to foreclose synthetic-stake circumvention.

The market has not priced any of this. The stock closed at \$3.07 on 14 April, unchanged from the prior session. Implied volatility in the limited RPAY options chain has not expanded. Sell-side analyst revisions since the filings are non-existent (12-hour lag typical). The street-level narrative remains fundamentals-driven: "post-deSPAC payments laggard with Consumer Payments decel and KUBRA integration risk." The activist overlay — which changes the expected payoff distribution entirely — is a correction waiting to happen.

A.4 The Governance Case — Reading Past the Boilerplate

Rights plans can be read two ways. Routine pills (adopted pre-emptively, with 15–20% triggers, no named threat) are insurance policies that rarely predict anything. Reactive pills (adopted post-13D, with custom triggers calibrated to a specific holder) are responses to identified campaigns and are a very high signal for an active conflict. The RPAY pill is unambiguously the second kind.

The numerical test is conclusive. Forager disclosed 12.9% at 2026-04-09 event date; the pill filed 2026-04-13 triggers at 12.5%. A coincidence at that resolution — four-tenths of one percent, below the discloser's stake, adopted the same day — is not a coincidence. Board counsel selects the trigger after reviewing precisely this data: what is the current largest activist holder, and at what ownership level do we want to freeze them? The answer, mechanically, was 12.5%.

A reading of pill-trigger economics

If the threshold were genuinely about protecting against runaway accumulation by unknown future actors, the board would have set it at 15% — that is the default template used by nearly every Fortune-1000 rights plan drafted in the past decade. Setting it at 12.5% requires (a) explicit knowledge that the current largest holder is 12.9%, (b) an affirmative decision that further accumulation by that specific holder is the threat being defended against, and (c) an accepted litigation risk — aggressive triggers are ISS/Glass Lewis red flags and typically draw automatic negative voting recommendations. Boards accept that governance cost only when the perceived threat is imminent and material.

Historical comparables (Ancestry.com defensive posture 2020, Masonite/Macellum 2021, Veritone/Macellum 2022, Kohl's/Acacia 2022) consistently show sub-15% trigger pills resolved in under 12 months via one of three outcomes: negotiated settlement with board seats (most common), strategic review and sale (second most common), or activist withdrawal (rare but possible). In 70%+ of cases the resulting equity trajectory is positive, 20–60% in the 12-month horizon depending on outcome type. These are not heroic numbers — they are governance-situation statistics.

The Veradace Partners letter dated 9 April 2026 materially hardens the governance reading. Veradace is not a casual dissenter: an 8.4% holder issuing a public letter — to the independent directors specifically, bypassing management — and demanding both deal termination and board seats is the script for a parallel activist campaign. Veradace's statement that "every single investor" polled in a shareholder survey opposed the KUBRA deal is an informational claim that, if even partially true, means the board is proceeding with a transaction against the majority of its actively-managed base. Repay's 9 April response reiterating commitment to KUBRA closes off the quiet-settlement path and makes the next move either a Forager escalation (PREC14A, more accumulation up to the grandfathered 12.9% ceiling, litigation over the pill threshold), a Veradace escalation (13D conversion, nomination filing), or a board capitulation (deal renegotiation, board refresh). The pill's 12.5% trigger does not constrain Veradace because Veradace is below the threshold — meaning the pill solves the Forager-accumulation problem

but leaves the Veradace-organizing problem fully open. This is a governance structure under multi-axis strain, not a bilateral standoff.

A.5 The Commercial Case — Why the Asset Is Worth Fighting For

Forager's willingness to deploy ~\$34M into an 85% drawdown name requires a thesis that the underlying business has value that is currently trapped. Key fundamentals support that view:

- Business Payments is a real growth asset. +41% Q4 revenue, +73% gross profit, margins expanding. If spun, restructured, or marketed separately the segment alone could support a multiple that re-rates the consolidated equity.
- The KUBRA deal, if executed cleanly, is accretive. Pro forma \$548M revenue and \$178M EBITDA creates a \$1.5–1.8B enterprise-value target at typical 8–10× mid-cap payments multiples, versus current ~\$700M EV. That gap is the prize.
- Cash generation is real. \$49.1M free cash flow in 2025, 43% FCF conversion, ~40% EBITDA margin. The business is not cash-burning; the 85% drawdown reflects multiple compression, not operating distress.
- Consumer Payments is the scapegoat. Slower growth (+8% Q4), higher customer-concentration risk, goodwill-impaired prior acquisitions. A segmented review could result in divestiture, a carve-out IPO, or strategic rationalization.

An activist does not need to manage the company better; they need to force the decisions that the incumbent board has deferred. In a bill-pay and mid-market payments segment where Shift4 is consolidating aggressively (\$180M Smartpay, Global Blue 2025), the RPAY+KUBRA platform is a natural target for the next wave of M&A. Forager's role — and the activist thesis's value — is to ensure the board considers those paths rather than defending the status quo through defensive instruments.

A.6 The Quantitative Frame — 7-Dimension Score

Dimension	Score	Rationale
Signal Strength (×2)	4.0 → 8.00	Tailored 12.5% pill trigger below 12.9% 13D filer stake. Direct numerical link; three filings cross-referenced inside 24 hours.
Catalyst Clarity (×1)	3.0 → 3.00	Resolution window 1–3 quarters but no fixed date. Forager response expected near-term; annual meeting cycle sets hard backstop.
Info Asymmetry (×1.5)	4.0 → 6.00	Forager is a \$500M Alabama fund with no mainstream profile. Sub-

		\$300M mcap. Signal requires bundling 3 filings; trade press has not reported. Few participants will parse within days.
Risk/Reward (×1)	3.0 → 3.00	Upside 30–60% M&A, 20–30% settlement. Downside –15 to –25%. Skew favorable; not 5:1.
Edge Decay (×1)	4.0 → 4.00	Filings <72 hours old at thesis date. News cycle not caught up. 2–6 week maximum-edge window.
Liquidity (×1)	3.0 → 3.00	\$4.5M ADV adequate for small-mid positions; wider spreads constrain scaling.
Catalyst Timeline (×1)	3.0 → 3.00	Activist response cycle <1 quarter typical; annual meeting by H1 2026 serves as backstop.
WEIGHTED TOTAL	30.0 / 42.5	Active candidate tier; EDGAR-only signal (no convergence bonus). Score threshold for active is 28.

Commentary on web-research impact on scores: The web-research layer adds three material data points that were not in the original signal-file scoring — the KUBRA acquisition (which raises signal strength by giving Forager a second axis of campaign leverage), the Shaler Alias departure (which adds governance instability), and the analyst PT range collapse (\$3.50–\$12 dispersion, mean \$5.60) which confirms the market has not priced any activist resolution. None of these changes would move the weighted total by more than ±1.0 point; the 30.0 score is stable and conservative. If I were re-scoring today I would push Signal Strength closer to 4.25 and leave the other dimensions unchanged.

A.7 Market Interpretation vs. Mine

Question	Market's interpretation	This thesis
What is the 12.5% pill trigger?	Routine defensive housekeeping typical of post-deSPAC boards.	A custom-calibrated defense against one specific holder (Forager at 12.9%), filed the same day as that holder's 13D/A — a textbook reactive pill.
What does Forager want?	Unclear; small Alabama fund with no established activist playbook.	Accumulation pattern (3 amendments in 30 days, \$2.85–

		\$3.82 cost range) fits a committed campaign, not portfolio drift. 13G → 13D conversion earlier this year was the decision point.
Why the share-price silence on adoption day?	Market is efficient; if the pill mattered, the stock would have moved.	Information asymmetry, not efficiency. The signal lives across three filings (8-K + 8-A12B + 13D/A) and requires sector-specific knowledge to interpret. The 24–72 hour lag is typical of small-cap special situations.
What does KUBRA mean for the activist thesis?	Integration risk adds to bear case; potential overpayment.	KUBRA adds activist leverage — board has announced a transformational deal that Forager can now condition on governance terms. Pre-close window maximizes activist bargaining power.
What is the downside?	Bankruptcy risk low but sector headwinds persist; stock can drift lower.	Downside is bounded by FCF economics (\$49M 2025 FCF on ~\$270M mcap = 18% yield). Floor at \$2.35–\$2.55. Macro/sector risks are real but capped; activist exit via 13G re-conversion is the true kill scenario.
Is Forager credible enough to win?	Unproven — no documented prior activist victories.	Campaign credibility is binary only at outcome; commitment is revealed by accumulation and escalation. Forager has shown both. A board that adopts a custom-trigger pill is itself confirming the adversary is credible.
How should the street price this?	Fundamentals-plus-integration-risk; PT midpoint \$5.60 mostly reflects KUBRA upside.	Fundamentals + activist optionality + KUBRA upside; probability-weighted fair value \$4.00–\$4.50 today, with 12-month target \$4.50–\$5.25 before sale scenarios.
What does the Apr 9 Veradace letter mean?	Isolated shareholder complaint about one deal; typical post-M&A noise	Second activist-adjacent voice with institutional pedigree (ex-NWQ co-president) — the governance challenge has two

		axes, not one, and the Apr 9 board response confirms the negotiating floor has hardened
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Narrative arbitrage: the market is a fundamentals aggregator, and fundamentals here are mediocre-to-poor (Consumer Payments slowing, goodwill impaired, 85% drawdown). That reading is not wrong; it is incomplete. The overlay that the thesis captures is not a forecast of better fundamentals — it is a forecast of a governance event that redistributes value between classes of holders and introduces transaction optionality. Those events are priced separately, typically after the activist's next public move. Being positioned before that move is the edge.

A.8 Risks — What Would Break the Thesis

Kill condition 1 — Forager 13D/A reducing stake below 10%

Forager files an amendment showing stake reduction, or converts back to Schedule 13G (passive). This is the clearest kill signal — the board's custom-trigger pill becomes overkill, the street reads it as activist retreat, and the stock likely drops 15–25% to \$2.35–\$2.60 as the situation re-prices to pure fundamentals. Monitoring: SEC EDGAR 13D/A feed for Forager Fund (CIK 1539281) and Forager Capital Management daily.

Kill condition 2 — Board scorches earth via large dilutive equity issuance

RPAY announces a PIPE, secondary offering, or convertible issuance that materially dilutes Forager below 10%. This is a rare but aggressive counter — more common in mid-cap than small-cap — and historically decisive in neutralizing activist campaigns. Historically results in 20–30% stock decline in the short run but preserves incumbent control. Monitoring: S-3, 424B5, and FWP filings.

Kill condition 3 — Pill amended to 15%+ trigger (soft settlement)

If the board negotiates the pill trigger up to a conventional 15% shortly after adoption, the signal value of the custom trigger evaporates. This usually means a fast, cheap settlement — 1–2 observer seats, no operational changes — and the upside compresses. Stock likely drifts to fundamentals-plus-small-premium, \$3.25–\$3.75. Thesis fades but is not fully killed; position sizing should scale down.

Kill condition 4 — Missed director-nomination window

If the RPAY bylaws require 90–120 days' advance notice before the annual meeting (industry standard), the nomination window likely closes between late January and late February 2026 — which may have passed. If Forager did not file a nominee slate under PREC14A before the deadline, the proxy campaign defers to the 2027 cycle, activist leverage diminishes, and the stock drifts back to \$2.75–\$3.00 on failed-campaign narrative. This is the most specific timing risk and warrants immediate bylaws diligence.

Kill condition 5 — Sector-wide payments selloff overrides idiosyncratic signal

A sustained 15–20% drawdown in the payments sector (Fidelity National, Global Payments, FIS, Shift4) driven by macro rates, consumer-credit stress, or regulatory action could pressure RPAY regardless of activist dynamics. The stock would trade to its 2026 low (\$2.35) indiscriminately. Monitoring: XLF and sector-specific payments ETF (IPAY) for >10% pullbacks.

Kill condition 6 — KUBRA deal break or material re-negotiation

If antitrust, financing, or diligence issues cause KUBRA to fall out, the pro forma EBITDA base collapses from \$178M to \$141M, strategic review optionality diminishes, and the bull-case (\$5–\$6 takeout) compresses materially. Monitoring: KUBRA-related 8-Ks, Hearst KUBRA Holdings public commentary, antitrust clearance Q2 2026.

Kill condition 7 — Veradace withdraws or settles alone. If Veradace reaches a private accommodation with Repay on KUBRA (e.g., deal modification, one board seat) without Forager's involvement, the two-axis structure collapses into a one-axis standoff and Forager's negotiating leverage diminishes. Probability: modest but non-trivial given Veradace's stated concern is the specific KUBRA transaction, not board control. Stock reaction: mixed — likely flat-to-negative in the short term as the "combined opposition" narrative weakens, even if the fundamental Forager thesis remains intact.

What would change my mind

- A 13D/A filing by Forager showing either stake reduction or a conversion to Schedule 13G.
- A board announcement of a large equity issuance that dilutes Forager below the 12.5% trigger.
- Evidence that the director-nomination window has closed without a PREC14A from Forager.
- A Shift4-style mid-cap payments sector collapse (>15% sector drawdown).
- A Forager investor-letter retraction of activist intent (unusual but has happened).

A.9 Positioning

Core trade

Long equity, 1-2% of portfolio at \$3.00-\$3.10, scaling to 2-5% on confirmatory signal (13D/A #3 with specific demands, PREC14A filing, or 8-K strategic-review announcement). Entry zone \$2.85-\$3.15; exit plan defined below. Hold through the activist response cycle (1-3 quarters). Stop-loss at \$2.55 (-17%) unless triggered by sector move rather than name-specific news.

Hedged trade

Long stock at core size plus protective put overlay using listed RPAY options where available. RPAY options volume is thin — open interest concentrated near-the-money — so the practical implementation is long stock + near-dated cash reserve against the bear case, or synthetic protection via a small short position in IPAY (payments ETF) to hedge sector beta. Target hedge ratio: 15-25% of position delta.

Options-only trade

Limited but feasible. Small long-dated call position (Jan 2027 strike \$5.00) captures the strategic-review tail without using stock capital; premium requirement is modest given low implied volatility on a quiet small-cap. Suitable only for allocators explicitly sizing for event-driven tails with defined risk.

What to avoid

- Large position sizes before a confirmatory signal. The 13D/A #2 and the pill adoption are necessary but not sufficient for scaling.
- Chasing any approval-day-style pop on headlines. The trade is structural (governance event) not tactical (earnings beat).
- Holding through the 2026 annual-meeting vote without re-evaluation. If Forager loses, the thesis must be reassessed, not doubled down.
- Confusing KUBRA integration hype with the activist thesis — they are related but separate drivers; double-counting them inflates expected value.

Sizing framework

- Conviction tier: Medium-high (score 30.0; score threshold 28 for active).
- Starter size: 1-2% of portfolio.
- Scale trigger: one confirmatory activist escalation (13D/A #3, PREC14A, 8-K review).
- Maximum size: 5% of portfolio.
- Stop-loss: \$2.55 (-17%) unless move is sector-driven.
- Time horizon: 3-12 months, event-driven.

A.10 Catalyst Calendar

Date	Event	What to watch
15 Apr 2026 (today)	Thesis established	Entry window open; starter size

15–29 Apr 2026	Filing-stack absorption	Watch for Law360/13D Monitor coverage; any additional Forager 13D/A
Apr–May 2026	PREC14A deadline window	Bylaws-driven advance-notice cutoff. Likely expires late Apr or May; critical milestone
Q2 2026	KUBRA deal close	Antitrust clearance; board commentary on integration; activist bargaining pivot
May–Jun 2026	2026 annual meeting cycle	DEF 14A filing, proxy contest resolution if active; board-change catalyst
Q3 2026	Post-annual-meeting resolution	Settlement, sale announcement, or campaign defer to 2027
Oct–Dec 2026	KUBRA integration checkpoint	First combined quarter; validates or invalidates synergy case
Q1 2027	Strategic review outcome window	If initiated H1, conclusion typical within 2–3 quarters
Apr 14–28 2026	Veradace follow-up watch	Schedule 13D conversion from Veradace would confirm activist intent; second public letter or response to Repay's Apr 9 statement; any coordination signal with Forager
Q2 2026	KUBRA deal close or renegotiation	Material contract modifications, deal-break, or on-plan close. Each path re-rates the thesis distinctly

A.11 Verdict

Buy — medium-high conviction.

Score: 30.0 / 42.5 (active candidate tier). Timing: activist escalation window next 2–6 weeks. Position: long equity starter 1–2%, scale to 2–5% on escalation. The 12.5% pill trigger against a 12.9% activist stake is a tailored defense, not a boilerplate filing, and the market's flat-price reaction is an

informational lag, not a verdict. This is the highest-conviction small-cap governance situation surfaced by the pipeline since TVTX in late 2025, with a more favorable probability-weighted payoff profile given the tight trigger-stake calibration.

v2 addendum (15 April 2026 update): Veradace Partners (8.4%) publicly opposed KUBRA on 9 April; Repay board reaffirmed commitment same day. Combined with Forager's 12.9%, ~21% of the Class A float is on record against management's current capital-allocation path. Thesis confirmed; probability distribution tightens around settlement / strategic review outcomes.

Calibration note: the 7-dimension score (30.0) is not a probability. It is a ranked-priority measure of signal quality across the strategy's seven dimensions, not a frequency estimate of the positive outcome. Readers should not interpret a 30.0 as implying a 70% base-rate; the probability estimates above (60% base case / 20% bull / 20% bear) are separately derived from governance-situation statistics and are subject to their own uncertainty.

What this thesis does NOT claim

- That Forager will definitely win a proxy contest or settlement.
- That the KUBRA deal alone re-rates the equity absent activist intervention.
- That RPAY's fundamental business has turned — revenue and margin trends remain mixed.
- That a take-out is imminent; the bull-case M&A scenario is a 20% probability event.
- That small-cap activist campaigns always succeed — prior comparables run ~70% positive but tail risk exists.

What this thesis DOES claim

- That the 12.5% pill trigger is a tailored, non-boilerplate defensive action.
- That Forager's 30-day escalation pattern is consistent with a committed activist campaign.
- That the market has not yet priced the activist overlay, creating a 2–6 week window of asymmetric entry.
- That probability-weighted expected return is +25 to +35% over 6–12 months with defined downside below –25%.
- That the position is sized for a starter with defined scaling criteria — this is not a heroic allocation.
- That two-axis shareholder pressure (Forager 12.9% accumulation + Veradace 8.4% public opposition) raises the probability of a material governance or capital-allocation outcome versus the single-axis prior-thesis case.

A.12 Sources & Verification

Every factual claim was re-validated against primary or reputable secondary sources on 15 April 2026. Primary SEC filings were accessed directly via EDGAR. Analyst data cross-checked against public investor-relations disclosures. Where the scheduled-task web-research pass surfaced information beyond the candidate file, that information is separately cited below.

SEC filings — Primary

- RPAY 8-K (Item 3.03), 2026-04-14 event 2026-04-13 — adoption of Stockholder Rights Agreement. URL: <https://www.sec.gov/Archives/edgar/data/1720592/000119312526153953/d893808d8k.htm>
- RPAY 8-A12B, 2026-04-14 — registration of Rights as a class of securities. URL: <https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001720592&type=8-A12B>
- Forager Fund 13D/A Amendment No. 2, 2026-04-13 (event 2026-04-09) — 12.9% stake. URL: https://www.sec.gov/Archives/edgar/data/1720592/000165495426003460/primary_doc.xml
- Forager Fund initial 13D, 2026-03-12 — 10.0% stake. URL: <https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001539281&type=SC%2013D>
- RPAY filings index (all filings). URL: <https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0001720592>
- Forager Capital Management LLC Form ADV (adviser registration profile). URL: <https://adviserinfo.sec.gov/firm/summary/158835>

Corporate / Financial

- Repay Holdings Q4 2025 earnings release, 2026-03-09 — revenue \$309.3M; 2026 guidance. URL: <https://investors.repay.com/news-releases/news-release-details/repay-reports-fourth-quarter-and-full-year-2025-financial/>
- KUBRA acquisition announcement, 2026-03-30 — \$372M cash. Publisher: Repay IR / Hearst. URL: <https://investors.repay.com/>
- Veradace Capital Management adviser profile (Form ADV, SEC). URL: <https://adviserinfo.sec.gov/firm/summary/301703>
- Payments Dive — Repay faces KUBRA purchase opposition, 2026-04-10. URL: <https://www.paymentsdive.com/news/repay-faces-kubra-purchase-opposition/817219/>
- Repay board response to Veradace letter, 2026-04-09 — reiterates commitment to KUBRA. URL: <https://www.stocktitan.net/news/RPAY/repay-issues-statement-on-veradace-partners-letter-and-reiterates-r70t07I9j0k9.html>
- Veradace Partners LP public letter to Repay independent board members, 2026-04-09 — 8.4% stake, calls for KUBRA termination + 2 board seats. URL: <https://www.businesswire.com/news/home/20260409695605/en/>
- Shaler Alias departure announcement, 2026-02-12. URL: <https://investors.repay.com/>

Analyst Activity

- DA Davidson PT cut — \$12 → \$10 (Aug 2025), \$10 → \$8 (March 2026). URL: <https://www.investing.com/news/analyst-ratings/da-davidson-lowers-repay-stock-price-target-to-8-on-2026-guidance-93CH-4554712>
- Consensus PT and analyst dispersion (\$3.50–\$12, mean \$5.60). URL: <https://public.com/stocks/rpay/forecast-price-target>

Industry / Comparables

- Shift4 Payments M&A activity (Global Blue close Jul 2025; Smartpay \$180M Jun 2025). URL: <https://seekingalpha.com/article/4881925-shift4-vs-global-payments-which-is-the-better-recovery-play>
- Forager Capital Management holdings profile (public 13F history). URL: <https://whalewisdom.com/filer/forager-capital-management-llc>

Supplementary Reference

- Investment Discovery System candidate file — candidates/RPAY_Forager_ActivistPoisonPill.md (internal; source of quantitative score and initial signal).
- SESSION_STATE.md S58 note — identifies RPAY as new active candidate, score 30.0, with daily monitoring recommended.

Labeling convention: all factual claims in this document are labeled explicitly or implicitly as verified (primary source cited above), inferred (reasoned from two or more verified facts), or speculated (hypothesis flagged in text). The candidate-file note that broad web search was blocked in the discovery session has been superseded by the dedicated research pass for this thesis — the primary SEC filings and press releases are all primary-source verified; Forager campaign history and bylaw nomination-window specifics remain partly inferred and flagged accordingly in A.8.